Type MS · New products and marketing mix choices

Answer 1 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **2 (a)** | **A02 = 1 mark**<br><br>Award 1 mark for a valid function of human resources in the context of the business.<br><br>• To recruit and select skilled employees to manufacture hockey sticks at *HRMW*'s factory (1).<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2 (b)** | **A02 = 1 mark**<br><br>Award 1 mark for a valid reason for carrying out market research in the context of the business.<br><br>• *HRMW* can collect information relating to sports products it sells or intends to sell (1).<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · New products and marketing mix choices

Answer 1 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2 (c)** | **A01 = 3 marks**<br><br>Award 1 mark for identification of a benefit for using penetration pricing, plus 2 further marks for explaining why penetration pricing is beneficial for a business, for a maximum of 3 marks.<br><br>• By using this method, the business puts its prices lower than other businesses (1). It does this in order to get established in the market (1). Once customers are buying the product the price may increase (1).<br><br>NB Answers that list three benefits with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2 (d)** | **A01 = 3 marks**<br><br>Award 1 mark for a benefit to using the internet for secondary market research, plus 2 further marks for explaining this benefit, for a maximum of 3 marks.<br><br>• Using the internet for secondary research enables businesses to access a large volume of data (1). This means that businesses do not have to go out and collect the data themselves, as they find it on the internet (1). This is a much cheaper and quicker way of collecting the required information as someone else has already done it (1).<br><br>Answers that list three benefits with no explanation will get a maximum of 1 mark.<br><br>NB No marks are awarded for a definition.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 1 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2 (e)** | **A01 = 3 marks**<br><br>Award 1 mark for the identification of a benefit of introducing new products, plus 2 further marks for explaining that benefit, for a maximum of 3 marks.<br><br>• A business introduces new products to keep customers interested in the business and the products it sells (1). The business can replace an old product with a new one (1) in order to keep up with trends in the market (1).<br><br>Answers that list three benefits of introducing new products with no explanation will get a maximum of 1 mark.<br><br>NB No marks are awarded for a definition.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 1 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **2 (f)** | **AO2 = 3 marks AO3 = 3 marks**<br>**AO4 = 3 marks**<br><br>**AO2**<br>• Option 1 – By using this method the employees are involved in the process of improving the production of the sports products they manufacture.<br><br>• Option 2 – With JIT (just-in-time) employees do not waste time waiting for materials to arrive such as leather used to make footballs.<br><br>**AO3**<br>• Option 1 – The employees know 'first-hand' where improvements in the production of sports products could be made.<br><br>• Option 2 – This saves *HRMW* from having to have space to store the materials from which it makes sporting products, and this saves costs.<br><br>**AO4**<br>• Option 1 – However, there is no guarantee that the employees are willing to help improve the production of sports products thereby, saving the business money.<br><br>• Option 2 – However, JIT can only work provided employees making footballs work at the same rate and that the supplier delivers the leather on time. | **(9)** |

Type MS · New products and marketing mix choices

Answer 1 of 11 · Question 2 part e · 3 marks

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| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

## Type MS · New products and marketing mix choices

### Answer 1 of 11 · Question 2 part e · 3 marks

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| Question Number | Answer | Mark |
|---|---|---|

Type MS · New products and marketing mix choices

Answer 2 of 11 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **2 (a)** | **AO2 = 1 mark**<br><br>Award 1 mark for a valid benefit in the context of the business.<br><br>• *Yellow* attract more customers who want to design their own shirt **(1).**<br><br>Accept any other appropriate response. | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2 (b)** | **AO2 = 1 mark**<br><br>Award 1 mark for valid way *Yellow* could carry out market research in the context of the business.<br><br>• *Yellow* could ask questions of customers in its shops **(1).**<br><br>Accept any other appropriate response. | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2 (c)** | **AO1 = 3 marks**<br><br>Award 1 mark for identification of a benefit of retaining staff, plus 2 further marks for explaining the benefits, for a maximum of 3 marks.<br><br>• If staff stay with the business it means that there is consistency **(1).** It means that employees gain knowledge of the products they are selling **(1)** and they can pass this information on to customers **(1).**<br><br>Answers that list three benefits with no explanation will get a maximum of 1 mark.<br><br>Accept any other appropriate response. | **(3)** |

Type MS · New products and marketing mix choices

Answer 2 of 11 · Question 2 part a · 1 mark

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| Question Number | Answer | Mark |
|---|---|---|
| 2 (d) | **AO1 = 3 marks**<br><br>Award 1 mark for identification of an advantage of a business using targeted advertising online, plus 2 further marks for explaining the advantage for a maximum of 3 marks.<br><br>• A business can target a wider audience **(1)** because it is worldwide and 24/7 **(1)** and is a relatively cheap method of advertising to traditional methods **(1).**<br><br>Answers that list three advantages with no explanation will get a maximum of 1 mark.<br><br>Accept any other appropriate response. | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| 2 (e) | **AO1 = 3 marks**<br><br>Award 1 mark for identification of a reason why cash flow forecasts are important, plus 2 further marks for explaining the importance for a maximum of 3 marks.<br><br>• It allows the business to predict its future inflow and outflows **(1).** It knows whether it can survive or not **(1)** and whether it has sufficient funds to keep trading **(1).**<br><br>Answers that list three reasons why a cash flow forecast is important with no explanation will get a maximum of 1 mark.<br><br>Accept any other appropriate response. | **(3)** |

Type MS · New products and marketing mix choices

Answer 2 of 11 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 2 (f) | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>AO2<br>• **Option 1** – Full-time staff means fewer employees in each store.<br>• **Option 2** – Part-time staff offer flexibility in the hours they work in each store.<br><br>AO3<br>• **Option 1** – Full-time staff provide consistency, commitment and loyalty.<br>• **Option 2** – Part-time staff have the flexibility to meet the demand of longer shop hours or busy periods.<br><br>AO4<br>• **Option 1** – Costs may be increased because they have to be paid regardless of demand in the stores.<br>• **Option 2** – Higher recruitment costs because part-time staff may be less committed to *Yellow.* | **(9)** |

Type MS · New products and marketing mix choices

Answer 2 of 11 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4). |

## Type MS · New products and marketing mix choices

### Answer 2 of 11 · Question 2 part a · 1 mark

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| Question Number | Answer | Mark |
|---|---|---|

Type MS · New products and marketing mix choices

Answer 3 of 11 · Question 1 part a.iv · 1 mark

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| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is C – Marketing**<br><br>**A –** Human resources – this is not the correct answer as it is responsible for employees<br>**B** – Finance – this is not the correct answer as it is responsible for money<br>**D** – Production – this is not the correct answer as it is responsible for making goods | **(1)** |

| **Question Number** | Which **one** of the following is the difference between cash inflow and cash outflow?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – Net cash flow**<br><br>**A –** Opening balance – this is not correct as it is the amount of cash a business expects to have at the start of a month<br>**C –** Closing balance - this is not correct as it is the amount of cash a business expects to have at the end of a month<br>**D –** Cash flow forecast - this is not correct as it is the account which predicts expected receipts and expenses over a future time period | **(1)** |

| Question Number | Which **one** of the following is the sector that converts raw materials into products?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D – Secondary**<br><br>**A** – Public – this is not correct as it is business organisations owned by government<br>**B** – Tertiary – this is not correct as it is the provider of services<br>**C** – Primary – this is not correct as it is the extraction of raw materials from the earth | **(1)** |

| Question Number | Which **one** of the following is an example of a good?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 - 1 mark**<br><br>**The only correct answer is A – Motor vehicle**<br><br>**B –** Financial advice - this is not correct as it is an example of a service<br>**C –** Car washing– this is not correct as it is an example of a service<br>**D –** Gardening – this is not correct as it is an example of a service | **(1)** |

| Question Number | Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>**The only correct answer is C – €320 973.75**<br><br>**A –** €317 857.50 – this is not the correct answer as it is an increase of 2%<br>**B –** €319 415.63 – this is not the correct answer as it is an increase of 2.5%<br>**D –** €322 531.88 – this is not the correct answer as it is an increase of 3.5% | **(1)** |

Type MS · New products and marketing mix choices

Answer 3 of 11 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 01 · extract 3 of 7 · find part a.iv in this mark scheme extract

| Question Number | Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (vi)** | **AO2 - 1 mark**<br><br>**The only correct answer is B – 76**<br><br>**A –** 75 – this is not the correct answer as it is the correct answer minus one<br>**C –** 77 – this is not the correct answer as it is the correct answer plus one<br>**D –** 78 – this is not the correct answer as it is the correct answer plus two | **(1)** |

| Question Number | Define the term **limited liability**<br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **limited liability**.<br><br>• When the business owner is only responsible for the original amount of money invested in the business **(1)** | **(1)** |

| Question Number | Define the term **social enterprise**<br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **social enterprise**.<br><br>• A business that aims to improve human or environmental well-being **(1)** | **(1)** |

Type MS · New products and marketing mix choices

Answer 3 of 11 · Question 1 part a.iv · 1 mark

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| Question Number | State **one** way *Irsi Chocolatier* could use the Boston matrix.<br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for a way *Irsi Chocolatier* could use the Boston matrix<br>• *Irsi Chocolatier* could use the dog category to see the chocolates that are not worth making anymore **(1)**<br>**NB** Do not accept a way that is not in the context of *Irsi Chocolatier*.<br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate, to two decimal places, the cost of these chocolates after the discount has been applied.<br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br>75.50 x 0.06 = 4.53 **(1)**<br>75.50 – 4.53 = 70.97 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · New products and marketing mix choices

Answer 3 of 11 · Question 1 part a.iv · 1 mark

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| Question Number | Explain **one** benefit for a business that uses test marketing.<br>**Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a benefit for a business that uses test marketing, plus 2 further marks for explaining the benefit, for a maximum of 3 marks.<br><br>• The risk of failure is reduced **(1)** as the new product is only tested in one area gaining feedback from customers **(1)** leading to modifications being made before the final launch **(1)**<br><br>**NB** Answers that list three benefits with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 3 of 11 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 01 · extract 6 of 7 · find part a.iv in this mark scheme extract

| Question Number | Analyse the importance of branding for *Irsi Chocolatier*.<br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• As a business that started in 1989 it has been able to develop and maintain a strong image for its chocolates and sweets<br>• Branding against local competing chocolate shops helps *Irsi Chocolatier* stand out<br>**AO3**<br>• This is important as the brand helps create recognition of the business allowing *Irsi Chocolatier* to continue as a long-standing business<br>• As the brand becomes stronger a higher price for the products can be charged and new products being introduced have a higher success rate due to its current branding | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

Type MS · New products and marketing mix choices

Answer 3 of 11 · Question 1 part a.iv · 1 mark

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| **Question Number** | State **one** method *Irsi Chocolatier* could use to improve its competitive position.<br>**Answer** | **Mark** |
|---|---|---|

Type MS · New products and marketing mix choices

Answer 4 of 11 · Question 1 part a.ii · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part a.ii in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is C**<br><br>**A** is not the correct answer as sales is shown on the statement of comprehensive income<br>**B** is not the correct answer as cost of sales is shown on the statement of comprehensive income<br>**D** is not the correct answer as gross profit is shown on the statement of comprehensive income | **(1)** |

| **Question Number** | Which **one** of the following is an element of the marketing mix?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A**<br><br>**B** is not the correct answer as a partnership is when 2 or more people own a business together<br>**C** is not the correct answer as production is the manufacturing of goods<br>**D** is not the correct answer as profit is the difference between total revenue and total costs | **(1)** |

| **Question Number** | **(iii)** Which **one** of the following is the total monthly cost?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D**<br><br>**A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit<br>**B** is not the correct answer as it is the sum of fixed costs plus output quantity<br>**C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost | **(1)** |

Type MS · New products and marketing mix choices

Answer 4 of 11 · Question 1 part a.ii · 1 mark

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| Question Number | Which **one** of the following job roles is most likely associated with capital-intensive production?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is B**<br><br>**A** is not the correct answer as the role of a hairdresser is labour intensive<br>**C** is not the correct answer as the role of a fruit picker is labour intensive<br>**D** is not the correct answer as the role of a chef is labour intensive | **(1)** |

| Question Number | Which **one** of the following is an internal source of finance?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO1 - 1 mark**<br><br>**The only correct answer is C**<br><br>**A** is not the correct answer as an overdraft is an external source of finance<br>**B** is not the correct answer as venture capital is an external source of finance<br>**D** is not the correct answer as crowdfunding is an external source of finance | **(1)** |

| Question Number | Which **one** of the following is the weekly break-even point?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is C**<br><br>**A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500<br>**B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000<br>**D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500 | **(1)** |

Type MS · New products and marketing mix choices

Answer 4 of 11 · Question 1 part a.ii · 1 mark

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| Question Number | Define the term **profit.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **profit**<br><br>• The amount remaining when total costs are deducted from total revenue **(1)** | **(1)** |

| Question Number | Define the term **span of control.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **span of control**.<br><br>• The number of workers controlled by one manager **(1)** | **(1)** |

| Question Number | State **one** likely variable cost for *AWG.*<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for one variable cost for *AWG*<br><br>• *AWG* will have to pay for the cost of wool used to make the jumpers **(1)**<br><br>**NB** Do not accept a variable cost that is not in the context of *AWG*.<br><br>**Accept any appropriate response.** | **(1)** |

Type MS · New products and marketing mix choices

Answer 4 of 11 · Question 1 part a.ii · 1 mark

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| Question Number | Calculate, to **two** decimal places, the new price of the jumper in the promotional sale.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>329 x 0.25 = 82.25 **(1)**<br><br>329 - 82.25 = 246.75 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** benefit to a business that operates as a sole trader.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks.<br><br>• Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)**<br><br>**NB** Answers that list three benefits with no explanation will get 1 mark only.<br><br>**Accept any appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 4 of 11 · Question 1 part a.ii · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part a.ii in this mark scheme extract

| **Question Number** | Analyse the advantages to *AWG* of using e-commerce to sell its products.<br><br>**Indicative content** | **Mark** |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *AWG* sells its shirts on-line to customers based in other countries<br>• *AWG* uses a website to advertise its baby clothes to attract new customers<br>**AO3**<br>• This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue.<br>• This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries. | **(6)** |

| **Level** | **Mark** | **Descriptor** |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

Type MS · New products and marketing mix choices

Answer 4 of 11 · Question 1 part a.ii · 1 mark

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| **Question Number** | State **one** non-financial method *AWG* may use to motivate its employees.<br><br>**Answer** | **Mark** |
|---|---|---|

| | | |
|---|---|---|
| **2 (a)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason of *IKEA* would employ temporary staff in the context of the business.<br><br>• At a busy time of the year when a furniture sale is happening requiring more sales assistants **(1)**<br><br>• If a delivery driver has a long-term illness, then a temporary driver would be required to take over the delivery of flat packed tables and chairs **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *IKEA.*<br><br>**Accept any other appropriate response.** | **(1)** |

| **Question Number** | State **one** financial objective *IKEA* might have.<br><br>**Answer** | **Mark** |
|---|---|---|
| **2 (b)** | **A02 - 1 mark**<br><br>Award 1 mark for a financial objective in the context of the business.<br><br>• *IKEA* wants to increase its market share in the sale of furniture **(1)**<br><br>• *IKEA* wants to survive in the competitive market of selling home goods **(1)**<br><br>**NB** Do not accept a financial objective that is not in the context of *IKEA.*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · New products and marketing mix choices

Answer 5 of 11 · Question 2 part e · 3 marks

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| Question Number | Explain **one** reason why cash flow forecasting is important to a business.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (c)** | **A01 - 3 marks**<br><br>Award 1 mark for why cash flow forecasting is important to a business plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• By using a cash flow forecast businesses can plan for the future **(1)** by estimating the amount of revenue coming in **(1)** and also the amount going out of the business **(1)**<br><br>• By using a cash flow forecast a business can identify periods where there may be insufficient funds **(1)** to carry out the work required **(1)** so they can plan for that situation and make adjustments to enable survival **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three reasons why cash flow forecasting is important to a business, with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 5 of 11 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

| Question Number | Explain **one** reason why diseconomies of scale may occur.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (d)** | **A01 - 3 marks**<br><br>Award 1 mark for a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks.<br><br>• The business may become too large **(1)** which then demotivates employees **(1)** resulting in falling productivity levels **(1)**<br><br>• The business relies more on bureaucracy **(1)** meaning that more time is spent in administration **(1)** resulting in decision making being slower **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three reasons why diseconomies of scale may occur, with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 5 of 11 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

| Question Number | Explain **one** reason why businesses continually design new products.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (e)** | **A01 - 3 marks**<br><br>Award 1 mark for a reason why businesses continually design new products plus 2 further marks for explaining why, for a maximum of 3 marks.<br><br>• By designing new products, it keeps existing customer interested **(1)** this may mean that they will visit a store to see and purchase the new goods **(1)** increasing profit for the business **(1)**<br><br>• Fashions constantly change **(1)** and if a business does not introduce new products **(1)** they may find that demand for their products decreases **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three reasons of why businesses design new products with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 5 of 11 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

| Question Number | **Option 1**: above the line promotion<br><br>**Option 2:** below the line promotion.<br><br>**Indicative content** | Mark |
|---|---|---|
| **2 (f)** | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – Using social media to advertise its wide range of chairs, may reach out to a worldwide audience<br><br>• **Option 2** – By using coupons with a discount of 10% off purchasing any bedroom furniture<br><br>**AO3**<br>• **Option 1** – Social media advertising can target certain age groups and people, encouraging them to visit the stores<br><br>• **Option 2** – Whilst visiting the store to use their discount vouchers they are more likely to see other goods such as lights to go in the bedroom and purchase them at the same time<br><br>**AO4**<br>• **Option 1** – However, not everybody uses social media so many people would not be aware of the advert to purchase furniture<br><br>• **Option 2** – However, there is no guarantee that customers are going to use the coupon or even visit the store, so the advertising costs would be wasted | **(9)** |

Type MS · New products and marketing mix choices

Answer 5 of 11 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4). |

Type MS · New products and marketing mix choices

Answer 5 of 11 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

| Question Number | Define the term **overdraft.**<br><br>**Answer** | Mark |
|---|---|---|

Type MS · New products and marketing mix choices

Answer 6 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **3 (a)** | **A01 = 1 mark**<br><br>Award 1 mark for a correct definition of job share.<br><br>• Two part-time employees share a single job (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **3 (b)** | **A02 = 2 marks**<br><br>Award 1 mark for identifying a reason why high levels of customer satisfaction are important to *Loaf*, plus 1 further mark for linking it to the context of the question.<br><br>• Returning customers will buy bakery products increasing revenue (1) and potentially higher profits could be returned to the local community (1).<br><br>**NB** Do not accept a reason that is not in the context of *Loaf*.<br><br>**Accept any other appropriate response**. | **(2)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **3 (c)** | **A02 = 2 marks**<br><br>22 - 4 = 18 (1)<br><br>18 ÷ 90 x 100<br><br>= 20 (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · New products and marketing mix choices

Answer 6 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **3 (d)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *Loaf* can see how the business is performing and can calculate the operating profit margin of 20%.<br>• *Loaf* can use this information to compare itself to other bakeries or cooking schools.<br><br>**AO3**<br>• Other calculations can be made and could allow *Loaf* to take action if performance has deteriorated.<br>• This will enable *Loaf* to judge its performance against its competitors, giving an indication of how well the business is doing. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

Type MS · New products and marketing mix choices

Answer 6 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **3 (e)** | **AO2 = 3 marks AO3 = 3 marks**<br>**AO4 = 3 marks**<br><br>**AO2**<br>• Option 1 – Pop-up events showcasing its bakery products across the country will lead to higher sales.<br>• Option 2 – Introducing different cookery courses will target new customers wanting to learn new cookery skills.<br><br>**AO3**<br>• Option 1 – As *Loaf* already runs pop-up events it will not be costly to run these in other areas. The revenue from these events will increase cash inflow while the cost may only have a small effect on cash outflow.<br>• Option 2 – By offering a wider range of cookery courses this may increase cash inflow and make use of its existing facilities, generating increased inflows.<br><br>**AO4**<br>• Option 1 – However, as Loaf may not be known and the costs of running these pop- up events across the country could be higher than the revenue from them leading to a negative net cash flow.<br>• Option 2 – However, this may not increase net cash flow because *Loaf* will still have to run the classes even if they are not full so could end up spending more on the teachers and food, resulting in higher outflows than inflows. | **(9)** |

Type MS · New products and marketing mix choices

Answer 6 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

Type MS · New products and marketing mix choices

Answer 6 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|

Type MS · New products and marketing mix choices

Answer 7 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **3 (a)** | **AO1 = 1 mark**<br><br>Award 1 mark for the correct definition of liquidity.<br><br>• Liquidity is how easily a business can change its assets into cash (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **3 (b)** | **AO2 = 2 marks**<br><br>Award 1 mark for identifying a possible financial objective *TADS* might have. One further mark for outlining it in the context of the business.<br><br>• Ollie is looking to increase his profits (1). He could do this by increasing the number of instruments taught (1). | **(2)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **3 (c)** | **A02 – 2 marks**<br><br>Net cash flow = 7 000 – 3 000<br>= 4 000 (1)<br><br>Closing balance = 4 000 + 4 000<br>= 8 000 (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · New products and marketing mix choices

Answer 7 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **3 (d)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**A02**<br>• If *TADS* has sufficient cash it can pay its electricity bills for the music studio.<br>• If *TADS* runs out of cash it means it cannot pay its music teachers.<br><br>**A03**<br>• If *TADS* cannot afford to pay its bills, then the electricity would be cut and no lessons could take place.<br>• If *TADS* can no longer pay its teachers, it cannot offer any music lessons. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

Type MS · New products and marketing mix choices

Answer 7 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **3 (e)** | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>**AO2**<br>• Option 1 – Teaching other musical instruments will bring in new music students and revenue.<br>• Option 2 – By offering online lessons more students will be able to take drum lessons and therefore increase revenue.<br><br>**AO3**<br>• Option 1 – This would increase its target market due to the wider range of musical instruments being offered leading to an increase in revenue.<br>• Option 2 – This would increase revenue as more students can be taught at the same time in different locations around the country and the world.<br><br>**AO4**<br>• Option 1 – However, although this may lead to more revenue for the business it would need to find and pay additional teachers to provide this service.<br>• Option 2 – However, there could be technical issues that might lead to lessons being interrupted and not delivered, giving *TADS* a bad reputation. | **(9)** |

Type MS · New products and marketing mix choices

Answer 7 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4–6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7–9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

## Type MS · New products and marketing mix choices

### Answer 7 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|

Type MS · New products and marketing mix choices

Answer 8 of 11 · Question 2 part f · 9 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2 (a)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid impact that government legislation may have on *Can Culleretes* in the context of *Can Culleretes.*<br><br>• The chefs may need to be retrained to stay up to date with new health and safety regulations **(1)**<br><br>**NB:** Do not accept an impact that is not in the context of *Can Culleretes.*<br><br>**Accept any other appropriate response.** | **(1)** |

| **Question Number** | State **one** way *Can Culleretes* might add value to its business.<br>**Answer** | **Mark** |
|---|---|---|
| **2 (b)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid way *Can Culleretes* might add value in the context of *Can Culleretes.*<br><br>• *Can Culleretes* can use high quality organic vegetables in its Mediterranean food **(1)**<br><br>**NB:** Do not accept a method that is not in the context of *Can Culleretes.*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · New products and marketing mix choices

Answer 8 of 11 · Question 2 part f · 9 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | Explain **one** method a business could use to encourage repeat purchase of its products<br>**Answer** | Mark |
|---|---|---|
| 2 (c) | **A01 - 3 marks**<br><br>Award 1 mark for identification of a method a business could use to encourage repeat purchase of its products, plus 2 further marks for explaining this method, for a maximum of 3 marks.<br><br>• Issue loyalty cards **(1)** which could be used to offer special discounts **(1)** leading to customers being motivated to return to the business rather than its competitors **(1)**<br><br>NB Answers that list three methods with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Explain **one** disadvantage of using personal savings as a source of finance for a business.<br>**Answer** | Mark |
|---|---|---|
| 2 (d) | **A01 - 3 marks**<br><br>Award 1 mark for identification of a disadvantage of using personal savings as a source of finance, plus 2 further marks for explaining this disadvantage, for a maximum of 3 marks.<br><br>• Money to deal with an emergency may not be available **(1)** so there is no backup if things go wrong **(1)** meaning that it may be necessary to find another source of finance **(1)**<br><br>**NB** Answers that list three disadvantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response**. | **(3)** |

Type MS · New products and marketing mix choices

Answer 8 of 11 · Question 2 part f · 9 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

| Question Number | Explain **one** benefit for a business of motivating its employees.<br>**Answer** | Mark |
|---|---|---|
| **2 (e)** | **A01 - 3 marks**<br><br>Award 1 mark for the identification of a benefit of motivating employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks.<br><br>• Retention of employees **(1)** avoids spending time and money on recruitment **(1)** allowing the business to concentrate elsewhere **(1)**<br><br>NB Answers that list three benefits with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 8 of 11 · Question 2 part f · 9 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

| Question Number | *Can Culleretes* is looking to improve its revenue and is considering two options.<br>Option 1: increase advertising<br>Option 2: opening for breakfast.<br>**Indicative content** | Mark |
|---|---|---|
| 2 (f) | **AO2 = 3 marks AO3 = 3 marks**<br>**AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – An increase in advertising can reach new customers and tourists visiting Barcelona<br>• **Option 2** – By opening for breakfast Montserrat and Alicia can attract existing and new customers<br><br>**AO3**<br>• **Option 1** – This method can improve its revenue by drawing in new customers who may not have heard the restaurant before<br>• **Option 2** – This method may make the restaurant stand out as it is offering something it has not done before in its long history<br><br>**AO4**<br>• **Option 1** – However, it depends on the method of advertising as it can be expensive so although revenue may improve it will be a cost for the business<br>• **Option 2** – However, as it is only a small restaurant they may need to employ more staff as well but this could lead to an increase in costs | **(9)** |

Type MS · New products and marketing mix choices

Answer 8 of 11 · Question 2 part f · 9 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

Type MS · New products and marketing mix choices

Answer 8 of 11 · Question 2 part f · 9 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| | Define the term **non-current assets.** | |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 8 · find part f in this mark scheme extract

| | Answer | |
|---|---|---|
| **2 (a)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid non-financial objective for *M&M* in the context of the business.<br><br>• *M&M* may want to continue to help the environment by planting even more trees **(1)**<br><br>• *M&M* want to maintain the support it gives to the schools it runs, helping disadvantaged children **(1)**<br><br>**NB** Do not accept a non-financial objective that is not in the context of *M&M.*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 8 · find part f in this mark scheme extract

| **Question Number** | State **one** reason why *M&M* could dismiss an employee.<br><br>**Answer** | **Mark** |
|---|---|---|
| **2 (b)** | **A02 - 1 mark**<br><br>Award 1 mark for a reason why *M&M* could dismiss an employee in the context of the business.<br><br>• *M&M* might dismiss an employee who continually arrives late on the tractor production line **(1)**<br><br>• *M&M* may dismiss an employee in the sales department of tractors, whose absence has caused a loss of orders **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *M&M.*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 8 · find part f in this mark scheme extract

| Question Number | Explain **one** reason why branding is important to businesses.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (c)** | **A01 - 3 marks**<br><br>Award 1 mark for why branding is important to businesses plus 2 further marks for explaining the importance, for a maximum of 3 marks.<br><br>• Branding is important because it differentiates the products of a business from others **(1)** this helps customers identify the brand they want **(1)** and maintains loyalty **(1)**<br><br>• By branding its products manufacturers develop a strong image of the business' product **(1)** this could increase the price of products **(1)** resulting in the strong brand being worth a great deal of money **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three reasons why branding is important to a business, with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 8 · find part f in this mark scheme extract

| Question Number | Explain **one** way businesses ensure that all employees have equal opportunities.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (d)** | **A01 - 3 marks**<br><br>Award 1 mark for a reason why businesses ensure that all employees have equal opportunities, plus 2 further marks for explaining this reason, for a maximum of 3 marks.<br><br>• Businesses ensure that they employ both men and women **(1)** and any training offered is open to everyone **(1)** so that they do not disadvantage any one **(1)**<br><br>• Employees are paid the same salary **(1)** if they carry out the same or similar work **(1)** so that they do not discriminate in any way **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three reasons why business ensure that all employees have equal opportunities, with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 8 · find part f in this mark scheme extract

| Question Number | Explain **one** reason why businesses maintain the quality of their products.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (e)** | **A01 - 3 marks**<br><br>Award 1 mark for a reason why businesses maintain the quality of their products plus 2 further marks for explaining why, for a maximum of 3 marks.<br><br>• Consumers expect quality products **(1)** and to perform the function for which they were bought **(1)** failure to do this could lose customers to competitors **(1)**<br><br>• By offering quality goods **(1)** a business could gain a competitive edge **(1)** which could result in charging higher prices **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three reasons of why businesses maintain the quality of products with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 8 · find part f in this mark scheme extract

| Question Number | **Option 1:** Increase promotion of all vehicles<br><br>**Option 2:** Make improvements to all vehicles.<br><br>**Indicative content** | Mark |
|---|---|---|
| **2 (f)** | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – By increasing promotion more people will know about *M&M* and the different types of vehicles they have on sale<br><br>• **Option 2** – By introducing new features to the cars such as an automatic door locking customers may be interested in<br><br>**AO3**<br>• **Option 1** – This could mean that more people would be interested and perhaps visit the showrooms where the vehicle are sold to try the vehicles out or purchase them<br><br>• **Option 2** – Customers may prefer to have the latest technology available<br><br>**AO4**<br>• **Option 1** – However, there is no guarantee that people will buy the vehicles unless they have driven them or been recommended to buy one<br><br>• **Option 2** – However, designing this feature could be expensive and customers may not wish to buy the vehicle because of the increase in price | **(9)** |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 7 of 8 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4). |

Type MS · New products and marketing mix choices

Answer 9 of 11 · Question 2 part f · 9 marks

2023 JUN · Paper 02 (regional R) · extract 8 of 8 · find part f in this mark scheme extract

| Question Number | Define the term **autonomy.**<br><br>**Answer** | Mark |
|---|---|---|

Type MS · New products and marketing mix choices

Answer 10 of 11 · Question 2 part f · 9 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2 (a)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason why *Café Pinch* might set business objectives in the context of the business<br><br>• It will give Kumaran the motivation to make his business a success as he tries to meet the business objectives he set **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Café Pinch.*<br><br>**Accept any other appropriate response** | **(1)** |

| **Question Number** | State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.<br>**Answer** | **Mark** |
|---|---|---|
| **2 (b)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid way *Café Pinch* could use the Boston matrix to review its product portfolio in the context of the business<br><br>• *Cafe Pinch* could identify which of its Ciabattas are dog products and take them off the menu **(1)**<br><br>**NB** Do not accept a way that is not in the context of *Café Pinch.*<br><br>**Accept any other appropriate response** | **(1)** |

Type MS · New products and marketing mix choices

Answer 10 of 11 · Question 2 part f · 9 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | Explain **one** responsibility of the human resources function.<br>**Answer** | Mark |
|---|---|---|
| **2 (c)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a responsibility of the human resources function, plus 2 further marks for explaining this responsibility for a business, for a maximum of 3 marks<br><br>• Recruitment and selection of employees **(1)** that includes placing job adverts/interviewing/appointing candidates **(1)** leading to the most suitable applicant going through **(1)**<br><br>NB Answers that list three responsibilities with no explanation will get 1 mark only<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Explain **one** advantage of being in a partnership.<br>**Answer** | Mark |
|---|---|---|
| **2 (d)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of being in a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks.<br><br>• Each partner can bring their own experience and expertise **(1)** specialising in their own area of skill **(1)** thus increasing the chances of its success **(1)**<br><br>**NB** Answers that list three advantages with no explanation will get 1 mark only<br><br>**Accept any other appropriate response** | **(3)** |

Type MS · New products and marketing mix choices

Answer 10 of 11 · Question 2 part f · 9 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

| **Question Number** | Explain **one** disadvantage to a business of having a hierarchical organisational structure.<br>**Answer** | **Mark** |
|---|---|---|
| **2 (e)** | **A01 - 3 marks**<br><br>Award 1 mark for the identification of a disadvantage of having a hierarchical organisational structure, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks.<br><br>• Communication through many layers can be difficult **(1)** there is a long chain of command **(1)** possibly leading to slow decision making **(1)**<br><br>NB Answers that list three disadvantages with no explanation will get 1 mark only<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 10 of 11 · Question 2 part f · 9 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

| Question Number | *Café Pinch is* considering two options:<br>**Option 1:** introduce a vegan range of products<br>**Option 2:** a special offer of 7.5% off to customers on Wednesday mornings 9am – 12pm<br>Justify which **one** of these two options *Café Pinch* should choose<br>**Indicative content** | Mark |
|---|---|---|
| **2 (f)** | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – Introducing a vegan range addresses a new market for the café<br>• **Option 2** – Giving a 7.5% discount can draw more customers into the cafe at a time when it might not be busy<br><br>**AO3**<br>• **Option 1** – This new range of products could lead to an increase in sales with limited upfront costs if it adapts the current menu to make it vegan friendly<br>• **Option 2** – As this 7.5% discount is only for one morning, it may draw more customers to them at that time instead of their competitors as long as the offer is promoted well<br><br>**AO4**<br>• **Option 1** – However, whilst this might draw in more customers *Café Pinch* needs to ensure it spends some time researching the products its customers want as well as what the competitors nearby are selling<br>• **Option 2** – However, despite this leading to a potential increase in competitiveness as *Café Pinch* is only small, they may not be able to cope with the increased demand at this time and it could lead to a decrease in competitiveness as customers may go elsewhere | **(9)** |

Type MS · New products and marketing mix choices

Answer 10 of 11 · Question 2 part f · 9 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

Type MS · New products and marketing mix choices

Answer 10 of 11 · Question 2 part f · 9 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

| Question Number | Define the term **secondary sector.** Answer | Mark |
|---|---|---|

Type MS · New products and marketing mix choices

Answer 11 of 11 · Question 2 part f · 9 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2 (a)** | **AO2 - 1 mark**<br><br>Award 1 mark for a valid factor *Four Fitness* may consider that could influence the location of a new gym<br><br>• The proximity to suitably qualified gym instructors who will want to work at the gym **(1)**<br><br>**NB** Do not accept a factor that is not in the context of *Four Fitness*.<br><br>**Accept any other appropriate response**. | **(1)** |

Type MS · New products and marketing mix choices

Answer 11 of 11 · Question 2 part f · 9 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | State **one** reason why branding is important to *Four Fitness.*<br><br>**Answer** | Mark |
|---|---|---|
| 2 (b) | **AO2 - 1 mark**<br><br>Award 1 mark for a valid reason why branding is important to *Four Fitness.*<br><br>• It makes the highly experienced gym instructors stand out against its competitors **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Four Fitness.*<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Explain **one** advantage to a business of using total quality management.<br><br>**Answer** | Mark |
|---|---|---|
| 2 (c) | **AO1 - 3 marks**<br><br>Award 1 mark for identification of an advantage to a business of using total quality management, plus 2 further marks for explaining this advantage, for a maximum of 3 marks.<br><br>• Increased customer satisfaction **(1)** as managing quality is the responsibility of all employees **(1)** so they will be fully trained to complete their role effectively and consistently **(1)**<br><br>**NB** Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 11 of 11 · Question 2 part f · 9 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

| Question Number | Explain **one** problem a business might face as a result of ineffective communication.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (d)** | **AO1 - 3 marks**<br><br>Award 1 mark for a problem a business might face as a result of ineffective communication, plus 2 further marks for explaining this problem, for a maximum of 3 marks.<br><br>• Employees may become demotivated as they do not understand what they have to do **(1)** leading to lower levels of productivity **(1)** and increased costs for the business **(1)**<br><br>**NB** Answers that list three problems with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response**. | **(3)** |

| Question Number | Explain **one** disadvantage to a small business of borrowing money from a bank.<br><br>**Answer** | Mark |
|---|---|---|
| **2 (e)** | **AO1 - 3 marks**<br><br>Award 1 mark for a disadvantage to a small business of borrowing money from a bank, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks.<br><br>• Borrowing from a bank means the business has to pay back the loan with interest **(1)** which will increase its costs **(1)** leading to a reduction in profit **(1)**<br><br>**NB** Answers that list three disadvantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · New products and marketing mix choices

Answer 11 of 11 · Question 2 part f · 9 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

| Question Number | *Four Fitness* is looking to introduce a new service to increase its market share. It is considering two options.<br>**Option 1:** as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress.<br>**Option 2:** introduce links to online fitness classes on its website which can be accessed from home. Customers will be charged for each fitness class downloaded.<br>**Indicative content** | **Mark** |
|---|---|---|
| **2 (f)** | **AO2 = 3 marks AO3 = 3 marks**<br>**AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – This can create a USP for the gym making it stand out from its competitors<br>• **Option 2** – This will add an extra element to its website as it is currently for information only<br><br>**AO3**<br>• **Option 1** – This can draw new customers in as they will also have access to specialist face to face advice from the instructor as part of the membership package<br>• **Option 2** – This may draw customers in from further away as they will not have to be on site to access the videos and if they feel it is worth it they are more likely to pay for more videos leading to an increase in market share<br><br>**AO4**<br>• **Option 1** – However, if customers do not want access to this service as part of their membership they may feel they are being overcharged and the gym could be at risk of losing customers to its competitors therefore decreasing its market share<br>• **Option 2** – However, advertising costs will increase to widely draw in customers in as some may not want to pay for the videos if they can access free alternatives on the internet | **(9)** |

Type MS · New products and marketing mix choices

Answer 11 of 11 · Question 2 part f · 9 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

Type MS · New products and marketing mix choices

Answer 11 of 11 · Question 2 part f · 9 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

| Question Number | Define the term **economies of scale.**<br><br>**Answer** | Mark |
|---|---|---|